

**ETHIOPIAN HIGHER EDUCATION MODEL EXIT EXAM
(BA DEGREE IN MARKETING MANAGEMENT)**

Course Title: Service Marketing
Maximum Mark: 100%

Time Allowed: 50 mins

Instruction: For each of the following questions, chose the single best answer and encircle the letter of your choice on the separate answer sheet provided.

1. Which of the following is a characteristic of services?
 - A. Tangibility
 - B. Separability
 - C. Standardization
 - D. Ownership
2. In service marketing, what does the term "intangibility" refer to?
 - A. The physical presence of the service provider
 - B. The inability to store services for future use
 - C. The lack of variability in service delivery
 - D. The ability to measure service quality objectively
3. Which of the following is an example of an inseparable service?
 - A. Car rental
 - B. Manufacturing a product
 - C. Haircutting
 - D. Online shopping
4. Service marketing focuses on:
 - A. Selling physical products
 - B. Promoting intangible experiences
 - C. Maximizing customer ownership
 - D. Minimizing customer interaction
5. Which of the following is a key component of service quality?
 - A. Reliability
 - B. Tangibility
 - C. Standardization
 - D. Ownership
6. What does the term "service encounter" refer to in service marketing?
 - A. The physical location where services are provided
 - B. The interaction between the service provider and the customer
 - C. The pricing strategy used for service offerings
 - D. The marketing communication channels for promoting services
7. Which of the following is an example of a service gap in service marketing?
 - A. Customers' expectations exceeding the service delivered
 - B. Customers being satisfied with the service received
 - C. Service providers' skills and abilities matching customer requirements
 - D. Service providers exceeding customer expectations

8. What is the role of customer relationship management (CRM) in service marketing?
 - A. Attracting new customers to the service provider
 - B. Maximizing the value of existing customer relationships
 - C. Minimizing the importance of customer feedback
 - D. Focusing solely on transactional interactions with customers
9. Which of the following is an example of an extended marketing mix for services?
 - A. Product, price, promotion, place
 - B. Product, price, promotion, people, physical evidence, process
 - C. Product, price, promotion, packaging
 - D. Product, price, promotion, public relations
10. Which marketing concept emphasizes the importance of customer satisfaction and long-term relationships?

A. Product orientation	C. Sales orientation
B. Production orientation	D. Relationship orientation
11. Consumer behavior in services marketing refers to:
 - A. The process of marketing services to consumers
 - B. The study of how consumers make purchasing decisions for services
 - C. The promotion of services to target customers
 - D. The analysis of service pricing strategies
12. Customer expectations of services are influenced by:
 - A. Marketing efforts of competitors
 - B. Past experiences with similar services
 - C. Pricing strategies of the service provider
 - D. Availability of physical evidence for services
13. Customer perceptions of service quality are formed based on:
 - A. Service provider's advertising campaigns
 - B. Service pricing strategies
 - C. Customer expectations and actual service experiences
 - D. Service providers' reputation in the market
14. Building customer relationships in service marketing is important because:
 - A. It helps in increasing service prices
 - B. It allows service providers to offer a wider range of services
 - C. It leads to customer loyalty and repeat business
 - D. It eliminates the need for marketing efforts
15. Which of the following factors can influence customer perceptions of service quality?
 - A. Service provider's physical appearance
 - B. Service provider's tone of voice
 - C. Service provider's responsiveness
 - D. All of the above
16. In service marketing, the term "moments of truth" refers to:
 - A. Specific points of interaction between the customer and the service provider
 - B. Price negotiations between the customer and the service provider
 - C. Service delivery process from start to finish
 - D. Service customization options available to the customer

17. The process of understanding and building customer relationships in service marketing involves:
- A. Identifying target customers and designing marketing campaigns
 - B. Collecting customer feedback and addressing their concerns
 - C. Offering discounts and promotions to attract new customers
 - D. Conducting market research and competitor analysis
18. Customer relationship management (CRM) in service marketing refers to:
- A. Building personal relationships with customers
 - B. Managing customer complaints and resolving issues
 - C. Providing free services to loyal customers
 - D. Offering discounts and rewards to attract new customers
19. Service recovery refers to:
- A. Replacing a service with a better alternative
 - B. Compensating customers for poor service experiences
 - C. Providing additional services at no extra cost
 - D. Apologizing to customers for service failures
20. In service marketing, trust and reliability are important for building:
- A. Customer loyalty
 - B. Brand awareness
 - C. Competitive pricing strategies
 - D. Sales promotion activities
21. Service recovery refers to:
- A. The process of designing new services
 - B. The strategy used to recover lost customers
 - C. The act of compensating customers for service failures
 - D. The implementation of pricing strategies for services
22. An effective service recovery strategy can help in:
- A. Eliminating the need for service design
 - B. Reducing customer expectations
 - C. Building customer loyalty and trust
 - D. Lowering service delivery costs
23. Service design involves:
- A. Determining the appropriate pricing for services
 - B. Developing the physical layout of service facilities
 - C. Training employees on service delivery techniques
 - D. Understanding customer needs and designing service offerings to meet those needs
24. The process of delivering and performing services includes:
- A. Developing advertising campaigns for service promotion
 - B. Setting service pricing based on market demand
 - C. Interacting with customers and providing the promised service
 - D. Conducting market research to identify target customers

25. Integrated services marketing communications refers to:
- A. Combining various marketing channels to promote services
 - B. Developing pricing strategies for services
 - C. Designing service facilities to enhance customer experience
 - D. Training employees on service delivery techniques
26. The key elements of integrated services marketing communications include:
- A. Advertising, pricing, and service design
 - B. Advertising, public relations, and sales promotion
 - C. Pricing, distribution, and customer service
 - D. Advertising, customer service, and service delivery
27. Pricing of services refers to:
- A. Determining the cost of delivering services
 - B. Setting the right price for services to maximize revenue
 - C. Increasing service quality to justify higher prices
 - D. Offering discounts and promotions for services
28. The price of a service should be based on:
- A. The cost of delivering the service
 - B. The perceived value of the service to customers
 - C. The price of competitors' services
 - D. The profit margin desired by the service provider
29. The pricing objective that focuses on gaining market share and increasing customer base is:
- A. Profit maximization
 - B. Cost recovery
 - C. Market penetration
 - D. Price skimming
30. Price skimming is a pricing strategy that involves:
- A. Setting a high price initially and gradually lowering it over time
 - B. Offering discounts and promotions to attract customers
 - C. Setting a low price initially and gradually increasing it over time
 - D. Matching the prices of competitors' services
31. Dynamic pricing in services refers to:
- A. Setting different prices for different customer segments
 - B. Offering different service packages at different price points
 - C. Adjusting prices based on changes in demand and supply conditions
 - D. Implementing price discrimination to maximize revenue
32. Value-based pricing involves:
- A. Pricing services based on the costs incurred by the service provider
 - B. Pricing services based on the perceived value to customers
 - C. Offering discounts and promotions to attract price-sensitive customers
 - D. Matching the prices of competitors' services

33. Bundling is a pricing strategy that involves:
- A. Offering different service packages at different price points
 - B. Adjusting prices based on changes in demand and supply conditions
 - C. Setting a low price initially and gradually increasing it over time
 - D. Offering multiple services together as a package at a discounted price
34. Price discrimination in services refers to:
- A. Setting different prices for different customer segments
 - B. Offering discounts and promotions to attract customers
 - C. Adjusting prices based on changes in demand and supply conditions
 - D. Matching the prices of competitors' services
35. Cost-plus pricing is a pricing strategy that involves:
- A. Setting prices based on the costs incurred by the service provider
 - B. Pricing services based on the perceived value to customers
 - C. Adjusting prices based on changes in demand and supply conditions
 - D. Offering discounts and promotions to attract customers
36. Price transparency refers to:
- A. Offering discounts and promotions to attract customers
 - B. Adjusting prices based on changes in demand and supply conditions
 - C. Communicating and making prices easily accessible to customers
 - D. Matching the prices of competitors' services
37. When implementing pricing of services, it is important to consider:
- A. Competitors' pricing strategies
 - B. Customer expectations and willingness to pay
 - C. Cost of service delivery
 - D. All of the above
38. Value-based pricing in services involves:
- A. Pricing services based on competitors' prices
 - B. Pricing services based on the cost of service delivery
 - C. Pricing services based on the perceived value to the customer
 - D. Pricing services based on government regulations
39. Bundling pricing strategy in services refers to:
- A. Offering services at a fixed price for a specific duration
 - B. Offering different service options at different price points
 - C. Offering additional services at no extra cost
 - D. Offering discounts for purchasing multiple services together
40. In service marketing, the role of employees in service delivery is crucial because they:
- A. Determine the pricing of services
 - B. Create service advertisements
 - C. Interact directly with customers
 - D. Develop service design concepts

41. Service differentiation refers to:
- A. Offering unique and superior services compared to competitors
 - B. Lowering service prices to attract more customers
 - C. Improving the efficiency of service delivery processes
 - D. Increasing the speed of service delivery
42. The purpose of service differentiation is to:
- A. Attract customers through low prices
 - B. Increase service delivery costs
 - C. Create a competitive advantage in the market
 - D. Decrease customer satisfaction levels
43. Quality in services refers to:
- A. The cost of delivering services
 - B. The degree to which a service meets customer expectations
 - C. The speed of service delivery
 - D. The number of services offered by a company
44. Service quality can be assessed through:
- A. The price of the service
 - B. The number of customers served per day
 - C. Customer feedback and satisfaction surveys
 - D. The size of the service facility
45. Productivity in services is measured by:
- A. The number of employees in a service organization
 - B. The cost of service delivery
 - C. The speed of service delivery
 - D. The output of services relative to the input of resources
46. Increasing productivity in services can lead to:
- A. Higher service quality
 - B. Lower customer satisfaction
 - C. Increased service delivery costs
 - D. Decreased customer loyalty
47. Service productivity can be improved by:
- A. Decreasing employee training and development
 - B. Increasing the time spent on each customer interaction
 - C. Automating certain service processes
 - D. Increasing service prices
48. The concept of "moments of truth" in service quality refers to:
- A. Critical interactions between customers and service providers
 - B. The cost of service delivery
 - C. The speed of service delivery
 - D. The number of customers served per day

49. Service guarantees are a way to:
- A. Increase service differentiation
 - B. Lower service quality
 - C. Reduce service prices
 - D. Decrease customer satisfaction levels
50. The role of technology in service differentiation and productivity is to:
- A. Increase service prices
 - B. Decrease service quality
 - C. Automate service processes and enhance efficiency
 - D. Reduce customer satisfaction levels

ETHIOPIAN HIGHER EDUCATION
SERVICE MARKETING MODEL EXIT EXAM ANSWER SHEET
(BA DEGREE IN MARKETING MANAGEMENT)

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